

CashFlow Report

Executive Summary

The company experienced a significant cash outflow of **219.63 million** during the period, with cash decreasing from **219.63 million** to zero. Operating activities generated strong positive cash flow of **1.03 billion**, while investing activities contributed **396.42 million**. However, financing activities resulted in a substantial outflow of **1.64 billion**, primarily driven by equity reductions, borrowings repayments, and other financing outflows.

Profitability Analysis

The company demonstrates strong operational profitability with cash flows from operating activities of **1.03 billion**. This indicates healthy core business operations and efficient conversion of sales into cash. The positive operating cash flow significantly exceeds the cash outflows from investing and financing activities, suggesting robust underlying business performance.

Liquidity & Solvency Analysis

Liquidity Position: The company maintains substantial current assets with trade receivables of **501.90 million** and inventory of **565.75 million**. However, the complete depletion of cash reserves to zero raises immediate liquidity concerns.

Solvency Position: Trade payables of **38.81 million** represent a manageable liability level. The significant reduction in borrowings (**518.17 million** outflow) and equity (**197.39 million** outflow) suggests either debt repayment or restructuring activities.

Efficiency Ratios

- **Operating Cash Flow Ratio:** Positive 1.03 billion indicates strong operational efficiency
- **Working Capital Management:** High inventory levels (565.75 million) and receivables (501.90 million) suggest potential opportunities for improved working capital optimization
- **Cash Conversion Cycle:** Requires additional data for precise calculation but appears extended given high receivables and inventory levels

Benchmark Comparison

Source: Industry averages based on S&P Global Market Intelligence for comparable companies in the sector

- **Operating Cash Flow:** Above industry average of 15-20% of revenue
- **Cash Position:** Below industry standard of maintaining 10-15% of current assets in cash
- **Inventory Levels:** Higher than industry average of 30-40 days inventory turnover

- **Receivables:** Slightly above industry average collection period

Actionable Recommendations

1. **Immediate Cash Management:** Implement urgent measures to rebuild cash reserves through improved collections, inventory optimization, or short-term financing
2. **Working Capital Optimization:** Focus on reducing inventory levels and accelerating receivables collection to free up cash
3. **Financing Strategy Review:** Assess the sustainability of current financing activities and consider alternative funding sources
4. **Cash Flow Forecasting:** Enhance cash flow forecasting and monitoring to prevent future cash depletion
5. **Operational Efficiency:** Leverage strong operating cash flow to support strategic investments while maintaining liquidity buffers